

rolling stock and railway infrastructure assets for the Ministry of Railways on a cost-plus basis. That model served the country well; over 92% of our AUM today is still exposure to the MoR, and that relationship remains the bedrock of our business. But over the last couple of years, the Railways have not drawn fresh disbursements from us in the same way, majorly because of the Gross Budgetary Support for capex. Rather than let that translate into stagnant growth, we took a conscious decision to widen our canvas under what we call IRFC 2.0. As per our charter, we are permitted to fund activities with backward or forward linkage to the Railways — and that opened substantial opportunity. We now finance power generation and transmission, renewable energy, fertilizers, metro rail, ports and waterways, mining, dedicated freight corridors and multi-modal logistics parks. The audited FY26 results reflect this structural shift, from a traditional railway financier to a diversified infrastructure financing institution — keeping Railways at its centre.

Q: How meaningful has this diversification been in actual numbers, and which sectors have seen the strongest traction so far?

A: The numbers have moved faster than even we anticipated. In FY26, our non-MoR business saw agreements executed worth Rs. 72,949 crore and disbursements of Rs. 35,067 crores, exceeding our annual guidance. Railways and allied sectors constitute a key area of financing, followed by power generation, fertilizer and other sectors. On disbursements, the split is more even across the three. We have also executed four marquee transactions of roughly Rs. 10,000 crore each across power, fertilizers and rail infrastructure, and signed twelve financing agreements beyond conventional railway financing. We acquired over 70% of this new business through RFP-based competitive bidding, which tells you these are genuinely competitive wins on pricing and structuring, not relationship-driven deals. We have entered into MoUs with entities like VOCPA, SFCL, RITES, DMRC, IIFCL, REMCL, MMRDA and JNPT to build out this pipeline further.

Q: IRFC was conferred Navratna status in 2025. What has that designation meant in practical terms for the company's strategy and operations?

A: Navratna status was a watershed moment for us. It is not just a label — it confers genuinely enhanced financial and operational autonomy, which allows our Board to take investment and joint-venture decisions at a scale and speed that simply wasn't possible before. As a Navratna CPSE, IRFC has been entrusted with a larger responsibility in supporting nation-building infrastructure. It has also strengthened our hand in the capital markets — between our domestic AAA ratings from CRISIL, ICRA and CARE, international ratings at par with India's sovereign ratings, and Navratna status, we access funds at very competitive cost across instruments like Global Medium Term Notes, green bonds and commercial ECB loans. This year, our Board approved a market borrowing programme of up to Rs. 70,000 crores for FY27, which will support both the Railways' funding requirements and our continuing diversification under IRFC 2.0.

Q: A natural question for any lender stepping outside its traditional comfort zone is risk. How is IRFC ensuring that this diversification doesn't compromise the asset quality and zero-NPA track record the company is known for?

A: This is a question we ask ourselves before anyone else does, and it shapes every decision we make. Our diversification is deliberately not a leap into unrelated businesses — we choose sectors with strong backward and forward linkages to the railway ecosystem, and increasingly, we have adopted a whole-of-government approach, largely funding government entities or organisations with strong government linkages. That is a very different risk profile from, say, an unsecured retail or corporate book. We also rely heavily on competitive, RfP-based bidding rather than bilateral negotiation, which keeps our underwriting disciplined. The proof is in the numbers: despite this expansion, we closed FY26 with a Gross NPA of NIL, a cumulative asset-liability gap of NIL over the last five years, and a capital adequacy ratio of over 110%, multiples of the regulatory requirement. We intend to keep zero-NPA status non-negotiable, even as we scale.

Q: You have spoken about renewable energy as one of the new growth avenues, including IRFC's collaboration with Railway Energy Management Company. How does this fit into the larger national agenda around clean energy?

A: Renewable energy is one of the more exciting pieces of our diversification story, aligning directly with India's commitment to achieve 500 GW of non-fossil fuel capacity by 2030 and net-zero emissions by 2070. With 99.6% of the Broad-Gauge network already electrified, Indian Railways is now advancing from large-scale electrification towards a broader transition from brown to green energy solutions. As one of the country's largest energy consumers, the Railways present a natural opportunity for us to finance renewable energy capacity that supports its evolving energy requirements while also contributing to the broader power ecosystem. Our partnership with Railway Energy Management Company Limited is a good example — it combines our financing strength with REMCL's domain expertise in railway energy procurement and renewable projects. We've also extended credit facilities to renewable energy arms of larger power players, and going forward you will see us deepen our presence in this space, both because it serves national priorities and because it gives us access to long-tenure, high-quality assets that suit our balance sheet.

Q: Looking ahead to FY27 and beyond, what is your vision for IRFC, and how do you see the company's role evolving within India's broader infrastructure financing landscape?

A: Our ambition for FY27 is to sustain double-digit growth across our key indicators — revenue, EPS and net interest margins — while pushing our assets under management toward Rs. 5 lakh crore. We have a steady pipeline and emerging opportunities in sectors such as urban mobility and ports that we expect will further accelerate this growth. At the same time, we remain firmly committed to our founding purpose. India is on the cusp of significant economic advancement, and as the Railways continue their rapid expansion under the Viksit Bharat 2047 vision of the Hon'ble Prime Minister, IRFC will remain a dedicated financing partner to the Ministry of Railways. The next phase of railway infrastructure development, including future Dedicated Freight Corridors and High-Speed Rail projects, presents significant long-term financing opportunities as India builds the capacity and connectivity required to meet the mobility and logistics needs of the world's largest population.

What's changing is the scope of what 'partner to the railway ecosystem' means. We are evolving from being purely a railway financier into a diversified infrastructure financing institution that keeps Railways at its centre, while extending our expertise to the power, logistics, ports and renewable energy sectors integral to the same national growth story. With a strengthened balance sheet, a diversified portfolio, the autonomy that comes with Navratna status, and a culture of financial discipline, I am confident IRFC is well-positioned to play a much bigger strategic role in India's infrastructure financing landscape in the years ahead.

Under Manoj Kumar Dubey's stewardship, IRFC's journey from a single-mandate railway financier to a diversified, AAA-rated infrastructure financing powerhouse encapsulates a broader story of India's public sector enterprises reinventing themselves for a new economic era. With record profitability, a zero-NPA legacy intact, and an expanding footprint across broader railway eco-sytem including power, renewable energy, ports logistics and last mile connectivity IRFC's future, much like the Railways it was built to serve, remains firmly on track.